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# G-2, GHQ
# INTER - OFFICE MEMORANDUM

(For use within G-2 only)

RJR/bc

**File No:** **Subject:** Gen Nemoto - Formosa **Date:** 10 November 49

**FROM:** Maj Rinalducci **TO:** Col Fortier **PHONE:** **NAME:**

**Comment Number**

1. Attached herewith (Tabs 1, 2 and 3) are reports concerning trip of General Nemoto to Formosa. Previous copies of these reports were sent you with briefs I had prepared for Gen Willoughby. However, the briefs were based on reports which were poorly translated and I am forwarding these copies which are more intelligently translated for your files and information. 1

3 Incls-as cited

R.J.R.

Col: This has some 1000 dope on personalities as we as Jap influence in Formosa.

Col Fortier

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Permanent Record—Do not Detach

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Information On FORMOSA

(HHT - 28 Aug 49)

Note: This intelligence report is a compilation of information obtained from Japanese closely associated with Chinese residing in JAPAN.

The information on FORMOSA obtained from Chinese residing in JAPAN is very poor.

The observation at the end of the report is that of the writer.

A. Personal relationships of Chinese leaders in FORMOSA and JAPAN

1. Relationship of CHIANG Kai-shek and CHEN Cheng

CHEN Cheng (Note 1), after reaching FORMOSA in 1948, apparently planned to take exclusive possession of CHIANG Kai-shek's wealth and become lord over FORMOSA.

When CHIANG Kai-shek, TANG En-po (Note 2) and WANG Wen-cheng (this person, whose real name is WANG Tzu-hsei, shall be discussed later) conferred in SHANGHAI in January 1949, TANG and WANG advised CHIANG to hurry to FORMOSA to adjust his relations with CHEN. CHIANG, thereafter, went to FORMOSA and restrained CHEN Cheng.

The present relationship of CHIANG and CHEN is believed to be good on the whole. But it is believed that CHEN will not necessarily choose to commit double suicide with CHIANG when the Nationalist Government is on the verge of collapse, but rather that CHEN is watching for a chance to succeed CHIANG.

Note 1:

CHEN Cheng hails from the same province as CHIANG and has been a trusted confidant of CHIANG since the Revolution. An extreme rightist in the Nationalist Government, he has an aversion to foreigners and is disliked by United States officials.

CHEN, together with HU Tsung-nan and TANG En-po (both generals), are in direct line of succession (graduates of Huang-pu Military Academy) to CHIANG.

Note 2:

TANG En-po, who is in direct line of succession to CHIANG, is a military man who studied in JAPAN. He is pro-Japanese, and a first-rate strategist of the Nationalist Government. His military record surpasses that of CHEN Cheng. He went to FORMOSA because of



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his failure this year in the Shanghai defense, and is now in AMOY, devoid of troops and dejected. CHIANG's confidence in him, however, is believed still strong.

TANG is purely a military man and not a politician so his future is not as bright as CHEN Cheng's.

2. Relationship of CHEN Cheng and SUN Li-jen

SUN Li-jen (Note 3) went to FORMOSA in 1947, and is now in charge of training there. His ability deserves recognition and he is high in CHIANG Kai-shek's trust. SUN arrived in FORMOSA a year before CHEN Cheng and entrenched himself firmly, so that CHEN was apparently envious of the former's position. In the event of a crisis, CHEN and SUN are expected to drift apart and oppose each other.

Note 3:

During the Pacific War, as commander of the India expeditionary force, the newly organized First Army, SUN Li-jen engaged the Japanese forces in BURMA, and made a good record. Having studied in the UNITED STATES, he is one of the few Chinese generals familiar with modern warfare, and is both learned and courageous. He is considered a person whom the UNITED STATES should use in the future.

3. Relationship of WANG Wen-cheng (WANG Tzu-huei) with SHANG Chen and CHU Shih-ming.

WANG Wen-cheng (Note 4) and SHANG Chen (Note 5) are close friends. In fact SHANG Chen appears to be manipulated politically by WANG Wen-cheng.

CHU Shih-ming (Note 6) is under WANG Wen-cheng's influence.

Note 4:

He hails from FUKIEN Province and has a thorough understanding of the UNITED STATES and JAPAN. He has character, intelligence and political talent and is highly trusted by CHIANG Kai-shek. At present, he is an advisor to the Chinese Mission to JAPAN, and formerly he was the Industrial Department head of the Restoration Government (the government first established at NANKING after the outbreak of the Sino-Japanese War). He is definitely opposed to the Chinese Communists and should he compromise or surrender, the Chinese Communists are not likely to let him survive. WANG who has spent most of his life fighting for a coalition with JAPAN is now working earnestly for closer relations with the UNITED STATES.

Note 5:

Former head of the Chinese Mission to JAPAN. Residing in JAPAN at present.

Note 6:

Present head of the Chinese Mission to JAPAN.

B. The Chinese Army in FORMOSA

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The total strength is reported to be 400,000 to 500,000, but there seem to be only about 150,000 or 200,000 at the most who are adequately equipped.

The entire army, from officers right down, are fearful of defeat and their morale is gone.

C. Political Picture in FORMOSA

More than two million Chinese migrated to FORMOSA after the war ended. The blighted economic situation and the poor administration compared to that under the Japanese have resulted in extremely disgruntled Formosans.

The Formosan inhabitants have a higher level of intelligence than the Chinese due to the widespread education under the Japanese, and as a consequence, criticism of the Nationalist Government is rife. Under such circumstances, communist propaganda has become more intensive and is making rapid headway.

The present political drifts of the Formosan inhabitants are:

Those desiring a reversion to Japanese control - 50%

Those wishing international control - 20%

Those desiring permanent neutrality - 20%

Those desiring independence (most of these are communists) - 10%

The underlying theme is escape from the corrupt administration of the present Nationalist Government and the establishment of a FORMOSA for Formosans.

D. Observations on FORMOSA

If FORMOSA is left to fend for itself, it will sooner or later come under the control of the Chinese Communists. It is simply a matter of time. Moreover, that time is imminent.

In order to bring FORMOSA under their control, the Chinese Communists will not necessarily have to resort to landing operations. They should be able to gain most of their objectives merely by causing internal collapse through intrigue. The fall of FORMOSA to the Chinese Communists is tantamount to a political penetration by the USSR through the center of AMERICA's defense line. Therefore, FORMOSA should be regarded as the focal point of American and Soviet interests in the Far East. The UNITED STATES should secure FORMOSA as part of its defense line even if it means the payment of costly reparations.

The reversion of FORMOSA can be formally decided only at the signing of the Japanese Peace Treaty. Until such time, she is a Japanese possession by international law and by the same token should be under the control of the UNITED STATES who has the highest responsibility in administering JAPAN.

The Nationalist Government's present treatment of FORMOSA

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as a possession is illegal under international law.

At the time of the Potsdam Declaration, the rapid change which occurred in the Chinese situation was not foreseen.

It should naturally be within the rights of the UNITED STATES and GREAT BRITAIN to make revisions to meet the fundamental changes in the objective situation.

The UNITED STATES would be morally condemned by the rest of the world should she directly occupy FORMOSA by military means or foster FORMOSA as an independent nation, thereby treating her as an American territory. Yet, any plan to place FORMOSA under permanent international control will be opposed by the USSR. It would, therefore, be very difficult to secure one-sidedly the strategic advantages offered by FORMOSA.

Fortunately, JAPAN, unlike GERMANY, is really under the complete control of the UNITED STATES. In view of this, is there not some means whereby FORMOSA could join the American camp ostensibly under JAPAN's shingle?

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Intelligence Report K No. 2

Investigation Report on Chinese Attempt to Engage Former Japanese Officers as Military Advisors

14 Sep 49
HHT

Note:

1. This report has been compiled from information obtained from ex-army officers considered to have either a direct or an indirect connection with the incident.

2. The appendix represents the personal opinion formed by the writer on the basis of his investigation.

Information obtained in connection with this incident follows:

A. Around the spring of 1949 a rumor became current that a Chinese (unidentified) said to be connected with the Chinese Mission in JAPAN was maneuvering, primarily through his personal acquaintances, to engage former Japanese army and navy officers as military advisors on an individual basis. At the time, the rumor seemed to be pure gossip, inasmuch as there were no visible concrete developments.

The connection between the rumor and this is doubtful, but it seems certain that ex-Lt Gen NEMOTO, Hiroshi (Note 1), ex-Lt Col KIKKAWA, Genzo (Note 2), and others went to FORMOSA around May 1949. The nature and purpose of the trip remain a complete mystery, but it was rumored at the time that GHQ had given the Chinese Mission its tacit consent.

Note 1:

Commander of Mongolia Garrison Army at end of war (Mongolia border).

Note 2:

Staff Officer of 6 Army at end of war (CENTRAL CHINA).

B. Subsequently, in August 1949, from around the time of WU, Tieh-Cheng's visit to JAPAN, the rumor of the proposal to engage Japanese military advisors again gained momentum and seemed to have taken a concrete form. The details follow:

1. Important persons said to be acting as intermediaries in arranging for the formation of the military advisory group.

Ex-Lt Gen SUMITA, Raishiro (Note 3)
Ex-Lt Gen SOGAWA, Jiro (Note 4)

Note 3:

Commander of 1 Army at end of war (SHANSI Province); demobilized in 1949.

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Note 4:

Commander of 6 Army at end of war (CENTRAL CHINA).

2. Persons said to have been approached and in general inclined to consent:

Ex-Maj Gen TOMITA, Naosuke (Note 5)
Ex-Col KOMORITA, Shingen (Note 6)
Ex-Col MORITA, Masayuki (Note 7)
Ex-Lt Col NAITO, Susumu (Note 8)
Ex-Maj KONO, Taro (Note 9)
Ex-Maj II, Yoshimasa (Note 10)
Two ex-naval officers (names unknown)

Note 5:

Assistant Chief of Staff of 23 Army at end of war (CANTON, SOUTH CHINA).

Note 6:

Staff Officer of Air General Army at end of war (JAPAN).

Note 7:

Chief of Staff of Continental Railway at end of war (MANCHURIA); returned from SOVIET UNION in 1948.

Note 8:

Staff Officer of 3 Air Army at end of war (MALAYA).

Note 9:

Attached to Air Inspectorate-General at end of war (JAPAN).

Note 10:

Staff Officer of 3 Air Army at end of war (MALAYA).

3. Persons said to have been approached and to have refused:

Ex-Lt Col SATO, Katsuo
Ex-Lt Col TANAKA, Kengoro
Ex-Lt Col KANDA, Hachio
Ex-Maj HIRANO, Tosaku

4. Terms of employment.

The contract was to be effective for one year. Each officer was to receive 80,000 yen prior to his departure and a monthly allowance of 30,000 yen to be sent to his family during his absence. He would also receive additional pay for length of service and a bonus of 50,000 yen at the end of his term.

5. Mission of advisory group.

Mainly to provide training and guidance for the Staff of the Chinese Nationalist Army.

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C. Persons regarded by Americans as figuring in incident.

1. UGAKI, Kazunari, ex-general; ex-war minister; regarded by foreigners as a behind-the-scenes power in politics. It would appear that he is frequently consulted, and visited by Chinese, Korean, and other politicians. He is thought to be friendly with top Chinese in JAPAN, but his name does not figure in connection with this affair.

2. OKAMURA, Yasuji, ex-general; Commander-in-Chief of China Expeditionary Forces at end of war; returned from CHINA in 1948. As he has been very closely associated with CHINA throughout his life, he is thought to have close connections with the Chinese Mission in JAPAN, but his name does not figure in connection with this affair.

3. MATSUI, Takuro, ex-lieutenant general; Commander of 13 Army (SHANGHAI) at end of war. He was closely connected with CHINA while on active service, but his name does not figure in connection with this affair.

4. ICHIKAWA, Yoji, ex-major general; Chief of Staff of 6 Area Army (HANKOW) at end of war. His name does not figure in connection with this affair.

5. DOI, Akio, ex-lieutenant general; Assistant Chief of Staff of 13 Army (SHANGHAI) at end of war. Although he is thought to have close connections with the Chinese Mission, his name does not figure in connection with this affair.

6. TSUJI, Masanobu, ex-colonel, staff officer of 18 Area Army at end of war. The rumor that he was in CHINA after the end of the war seems to be true. Japanese newspapers and magazines have reported that he has returned to JAPAN, but as no former officers have seen him, it is thought that he remained in CHINA. It is possible that he is now in FORMOSA.

D. Appendix.

My opinion is:

1. The present matter has not been discussed at organized conferences of ex-army and ex-navy officers but has developed on a purely individual basis, with one friend talking to another. The Japanese Government and the Demobilization Bureau are not connected in anyway.

2. Such a proposal, made at a time when most former officers are living in despair, and appealing strongly to their inherent anti-Communist convictions, has succeeded in arousing some interest.

Those involved seem to believe that the project has the tacit consent of GHQ and the Chinese authorities.

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K Report No. 3

Supplement to K Report No. 2

HRT
20 Sep 49

Note: The present report consists of information obtained by H directly from KODAMA, Yoshio, concerned to some extent with the trip to FORMOSA made by ex-Lt Gen NEMOTO, and ex-Maj Gen TOMITA, Naosuke, scheduled to lead the military advisory group. Its contents are believed to be accurate.

The present report supplements and corrects K Report No. 2.

A. The following persons have consented to go to FORMOSA as military advisors (Note 1).

1. (Group leader) Ex-Maj Gen TOMITA, Naosuke

Position at end of war: Assistant Chief of Staff, 23 Army (SOUTH CHINA)

2. Ex-Col SASAKI, Ikichiro (Artillery)

Position at end of war: Attached to Inspectorate of Artillery (TOKYO)

3. Ex-Col MORITA, Masayuki (Railway)

Position at end of war: Continental Railway Chief of Staff (MANCHURIA). Repatriated from USSR in 1948.

4. Ex-Col SUZUKI, Isao (Intelligence)

Position at end of war: Chief of Staff, 104 Division (SOUTH CHINA)

5. Ex-KEMPEI Lt Col TAKIYAMA, Mitsuo (KEMPEI)

Position at end of war: Attached to Eastern District KEMPEITAI (TOKYO)

6. Ex-Lt Col NAITO, Susumu (Air)

Position at end of war: Staff Officer, 3 Air Army (MALAYA)

7. Ex-Comdr SUGITA, Toshiyuki (Navy)

8. Ex-Lt Col SAKAI, Tadao (Infantry)

Position at end of war: Staff Officer, 12 Area Army (JAPAN)

9. Ex-Maj II, Yoshimasa (Air)



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Position at end of war: Staff Officer, 3 Air Army (MALAYA)

10. Ex-Maj KONO, Taro (Air)

Position at end of war: Attached to Air General Inspectorate (JAPAN)

11. Ex-Capt ARATAKE, Kunimitsu (Group commander's adjutant)

Position at end of war: Attached to China Expeditionary Forces General Headquarters

Note 1:

a. This section corrects K Report No. 2.

The name of Col KOMORITA, Shingen, mistakenly included in K Report No. 2, has been deleted. One of the two navy officers subsequently refused to participate, leaving only one.

b. Although the original plans of the China Mission called for a 20-member group, so few persons proved willing to undertake the mission that it was decided to send 10 at once and 10 at a later date.

B. Names of members of Ex-Lt Gen NEMOTO's party.

Ex-Lt Gen NEMOTO traveled secretly from NOBEOKA in MIYAZAKI Ken to FORMOSA via 40-ton powered sailing vessel on 26 June of this year. The members of his party were:

1. Ex-Lt Gen NEMOTO, Hiroshi

2. Ex-Lt Col KIKKAWA, Genzo

3. OKAMOTO, — (name unknown) (Technician) (Note 2)

4. TERUYA, — (name unknown) (Technician)

5. ASADA, — (name unknown) (Pilot)

6. NAKAO, — (name unknown)

7. YOSHIMURA, — (name unknown)

(NEMOTO's confidential secretary)

Note 2:

OKAMOTO is reported to have recently returned to JAPAN.

C. History of ex-Lt Gen NEMOTO's trip to FORMOSA.

1. During November 1948, a Chinese named LI, Sheng-yuan (Note 3) came to JAPAN with a Japanese named KUGA, Tsuguo (Note 4). Their trip was made at the instigation of Chinese Gen FU, Tso-i, then in charge of the defense of NORTH CHINA, who wished to purchase parts in JAPAN for 180 tanks confiscated from the Japanese when the war ended. They wanted to utilize the tanks in the defense of PEIPING. (Note 5)

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Note 3:

LI, Sheng-yuan is a member of the LAN-I-SHEH, a rightist Chinese organization. His father, who died when LI was about 30, had many Japanese connections. His mother (Chinese), who divorced his father, married a Japanese and is now living in JAPAN.

LI seems to have brought from 4,000,000 to 5,000,000 American dollars with him to JAPAN.

Note 4:

KUGA, Tsuguo is a Japanese who has lived in PEIPING for many years (both before and since the war).

Note 5:

The 180 tanks were inoperable because of missing parts. After arriving in JAPAN, LI established headquarters in KYUSHU and spent two or three months attempting unsuccessfully to buy tank parts. In February, after spending most of his money, he went to TOKYO, where he made contacts primarily with Japanese who had Chinese connections, and with certain members of the Democratic Liberal Party.

(End of Note 5)

On 10 February, KODAMA, Yoshio (Note 6), who had been introduced to LI by a man named SAKATA, SAKATA himself, Col WANG, Wu of the Chinese Mission (now military attache at the legation in KOREA) and ex-Maj Gen IMAI, Takeo met with LI.

PEIPING fell while LI was engaged in the above activities.

Note 6:

KODAMA, imprisoned at SUGAMO after the war as a Class A war criminal, was released at the end of 1948. Following the advice of American war crimes prosecutor Frank NEAL, with whom he was on intimate terms, to do nothing but study for a year, he has entrusted his business to subordinates and is spending most of his time writing. He is the author of Our Defeat.

(End of Note 6)

LI approached KODAMA with a proposition to engage in three-cornered trade between FORMOSA, SHANGHAI, and JAPAN, and the latter signed a contract with him, first making it clear that he would operate only through established channels and with SCAP approval. Later, as LI said first one thing and then another, didn't return to CHINA, and seemed to be using trading agreements as a pretext to obtain money fraudulently from Japanese, KODAMA told him to consider their contract cancelled and not to attempt to see him again. LI left TOKYO for KYUSHU in May of this year.

2. While in KYUSHU, LI communicated secretly with NEMOTO and KIKKAWA and personally planned their clandestine trip. KODAMA, upon learning what was going on, advised Col WANG, Wu of the Chinese Mission to stop, and immediately before their departure, he urged SAKATA and KONASE, a secretary at the Foreign Office, to have the Occupation authorities prevent the trip, but the plans were carried through.

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Unable to accomplish the mission on which he had come to JAPAN, LI was apparently attempting to compensate for his failure by taking a number of former officers and other Japanese to FORMOSA.

D. Connection between ex-Lt Gen NEMOTO's party and Formosa trip of present advisory group.

Whereas, as has been noted, ex-Lt Gen NEMOTO's trip was LI's idea, the man behind the present advisory mission to FORMOSA is Lt Gen TSAO, Szu-Cheng, head of Section 1 (Military Affairs) at the Chinese Mission. The two affairs are not connected in any way. It is rumored that ex-Lt Gen NEMOTO has not been of any particular assistance to the Chinese in FORMOSA and that he is expected to return to JAPAN in the near future.